Dematerialization is done at the request of the investor. Investors will first have to open an account with a DP (Depository Participant) and then request for dematerialization of certificates through the DP.

Purchases made by an investor are credited to his account and sales are debited. The securities held in dematerialized form are fungible. In other words they do not have any distinguishing features. Dematerialized shares do not have any distinctive numbers. All the holdings of a particular security will be identical and interchangeable.

Trading in dematerialized shares commenced on the NSE in December 1996 where Reliance Industries was the first company to trade its 100 shares in demat form. In case of the BSE, dematerialization of shares commenced in the year December 1997.

8.06 Benefits of Dematerialization

i. The risks pertaining to physical certificates like loss, theft, forgery and damage are eliminated completely with a DEMAT account.

ii. The lack of paperwork enables quicker transactions and higher efficiency in trading.

iii. Trading has become more convenient as one can trade through computers at any location, without the need of visiting a broker.

iv. The shares that are created through mergers and consolidation of companies are credited automatically in the DEMAT account.

v. As all the transactions occur through the depository participant, a trader does not have to communicate individually with each and every company.

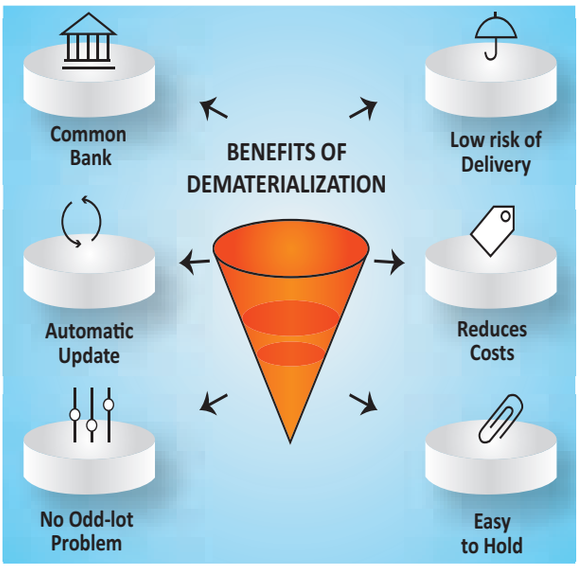
vi There is no need for stamp duty for transfer of securities; this brings down the cost of transaction significantly.

vii. Certain banks also permit holding of both equity and debt securities in a single account.

viii. Banks also provide dedicated and trained customer care officers to assist through all the procedures.

ix. A DEMAT account holder can buy or sell any amount of shares. However, there is limit on the number of transactions done using physical securities.

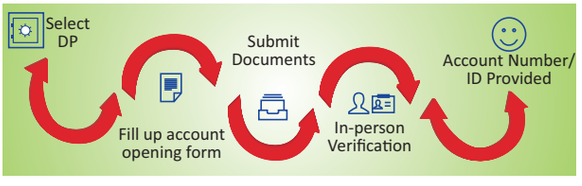
x. One can also choose to take a loan against securities which are held in a DEMAT account by offering it as a collateral to the lender.



What is Demat Account?

A demat account holds all the shares that are purchased in electronic or dematerialized form. Basically, a demat account is to shares what a bank account is to money. Like the bank account, a demat account holds the certificates of financial instruments like shares, bonds, government securities, mutual funds and exchange traded funds (ETFs).

How to Open a Demat Account?



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